CHAPTER ONE

ENTREPRENEURSHIP AND FREE ENTERPRISE

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Historical Development of Entrepreneurship

- Comes from the French and means "between-taker" or "go-between."
- **Earliest Period:** the earliest definition of an entrepreneur as a go-between is Marco Polo,
- **Middle Ages:** used to describe both an actor and a person who managed large production projects.
- **17th Century:** a person who entered into a contractual arrangement with the government to perform a service or to supply stipulated products.

Cont….

- Richard Cantillon: viewed the entrepreneur as a risk taker; "*buy at a certain price and sell at an uncertain price*."
- **18th Century:** the entrepreneur was distinguished from the capital provider (venture capitalist).
- **19th and 20th Centuries**
  - not distinguished from managers
  - were viewed mostly from an economic perspective
  - entrepreneur as an innovator was established

Definition of Entrepreneur Today

- To an economist: one who brings resources into combinations that make their value greater than before
- To a psychologist: one typically driven by certain forces
- To businessman: appears as a threat or an ally.
- Capitalist philosopher: one who creates wealth for others
  - Entrepreneurship is the process of creating something new with value by devoting the necessary time and effort, assuming the accompanying financial, psychic, and social risks, and receiving the resulting rewards of monetary and personal satisfaction and independence.

Entrepreneurship: definitions

- Entrepreneurship is the dynamic process of creating incremental wealth.
- Entrepreneurship is the process of creating something new with value by devoting the necessary time and effort, assuming the accompanying financial, psychic, and social risks, and receiving the resulting rewards of monetary and personal satisfaction of independence.

Motivation for Starting a Business

- <u>Pull Influences:</u>
  - Desire for independence
  - Desire to exploit an opportunity
  - Turning previous work experience into a business
  - Financial incentives
- <u>Push Influences:</u>
  - Redundancy
  - Unemployment
  - Disagreement with previous employer

Common characteristics associated with entrepreneurs

- Commitment, Determination, and Perseverance
- Drive to Achieve
- Opportunity Orientation
- Initiative and Responsibility
- Persistent Problem Solving
- Seeking Feedback
- Internal Locus of Control
- Integrity and Reliability
- Tolerance for Failure
- High Energy Level
- Creativity and Innovativeness
- Vision
- Self-Confidence and Optimism
- Independence
- Team Building

Background of Entrepreneurs

- Childhood background
- Parental background
- Age background
- Educational background
- Marriage background
- Parental relationship background
- Work history
- Work environment background

The Benefits of Entrepreneurship

- Opportunity to gain control over your own destiny
- Opportunity to reach your full potential
- Opportunity to reap extraordinary profits
- Societal responsibility and recognition
- Opportunity to engage in work of their choice

- Hailay: independence, financial opportunities, community service, job security, family employment and challenge

The Drawbacks of Entrepreneurship

- Uncertainty of Income
- Risk of losing your entire Investment
- Long hours and hard work
- Lower quality of life until the business get established
- High level of stress
- Complete responsibility
- Stiff competition

Types of Entrepreneurs

Danhof classified entrepreneurs as follows:

- **Innovative Entrepreneurs**

An innovating entrepreneur is the one who introduces new goods, inaugurate new method of production discovers new market and recognizes the enterprise.

- ***Imitative Entrepreneurs:-*** Imitative entrepreneurs do not innovate the change themselves, they only imitate techniques and technology innovated by others.
- ***Fabian Entrepreneurs:-*** **:** Fabian entrepreneurs are characterized by very great caution and skepticism in experimenting any change in their enterprises.
- ***Drone Entrepreneurs*** **:-** these are characterized by a refusal to adopt opportunity to make change in production formulae even at the cost of severely reduced returns relative to other producers.

Types of Entrepreneurs

- Classification According to the type of <u>Business</u>
- Business Entrepreneur :- are individuals who conceive an idea for a new product or service and then create a business on materializing their idea in to reality.

- ***Trading Entrepreneur:-*** Is one who undertakes trading activities and is not concerned with the manufacturing desire and interest among buyer to go to in for his product. He is engaged in both domestic and overseas trade.
- ***Industrial Entrepreneur:-*** He/she is product oriented person who starts in an industrial unit because of the possibility of marketing some new product. The entrepreneur has the ability to convert economic resources and technology into a considerable profitable venture.

- ***Corporate Entrepreneur:-*** is a person who demonstrate his innovative skill in organizing and managing a corporate undertaking
- ***Agricultural Entrepreneur*** :- are those entrepreneurs who undertake such agricultural activities as raising and marketing of crops, fertilizers, and other inputs of agriculture.

Types of Entrepreneurs

- *Classification According to Motivation*

- ***Pure Entrepreneur:-*** is an individual who is motivated psychological and economic reward. The entrepreneur undertakes the enterprise for his personal satisfaction.
- ***Induced Entrepreneur:-*** is the one who is induced to take up entrepreneurial task due to the policy measures of the government that provides assistance, incentive and necessary overhead facilities to start a venture.
- ***Motivated Entrepreneur:-*** motivation is the desire for self-fulfillment. They come into being because of the possibility of making and marketing some new product

- ***Spontaneous Entrepreneur:-*** is one who is motivated by his/her natural talent to begin a business. This kind of entrepreneurs is very confident in their natural blessings from God and wants to undertake business because they believe their natural gifts will enable them to do so

Types of Entrepreneurs

- Classification According to Use of Technology
  - Technical Entrepreneurs
  - Non-Technical Entrepreneurs
  - Professional Entrepreneurs

- Classification According to Stage of Development
  - First Generation Entrepreneur
  - Modern Entrepreneur
  - Classical Entrepreneur

- Classification According to Growth
  - Growth Entrepreneurs
  - Super growth Entrepreneurs

Types of Entrepreneurs

- Classification According to Area
  - Urban Entrepreneurs
  - Rural Entrepreneurs
- Classification According to Gender
  - Men Entrepreneurs
  - Women Entrepreneurs
- Classification According to Age
  - Young Entrepreneurs
  - Middle-aged Entrepreneurs
  - Old Entrepreneurs
- Classification According to Scale of Operation
  - Small scale Entrepreneurs
  - Large scale Entrepreneurs

Role of Entrepreneurs in Economic Development

1. Improvement in per capita Income/Wealth Generation
2. Generation of Employment Opportunities
3. Inspire others Towards Entrepreneurship
4. Balanced Regional Development
5. Enhance the Number of Enterprise
6. Provide Diversity in Firm
7. Economic Independence
8. Combine Economic factors:- (the raw materials, nature offers up, the physical and mental labor people provide and capital (money).

9. Provide Market efficiency: Efficient means resources are distributed in an optimal way that is the satisfaction that people can gain from them is maximized

10. Accepting Risk: Risk is the potential variation in terms of future outcomes.

11. Maximize Investor's Return: Entrepreneurs create and run organizations which maximize long-term profit on behalf of the investors which in turn generates overall economic efficiency.

Entrepreneurial Mindset

Who Becomes an Entrepreneur?

1. The Young Professional: Increasingly young highly educated people often with entrepreneurial qualifications are skipping the experience of working for an established organization and moving directly to work on establishing their own ventures.

2) The Inventor: The inventor is someone who has developed an innovation and who has decided to make a career out of presenting that innovation to the market. It may be a new product or it may be an idea for a new service. It may be a high-tech or it may be based on a traditional technology

Qualities of an Entrepreneur

- In order to be successful, an entrepreneur should have the following qualities:

1. Opportunity-seeking

An opportunity is a favorable set of circumstances that creates a need for a new product, service or business.

2. Persevering

An entrepreneur always makes concerted efforts towards the successful completion of a goal.

1. Information-seeking
2. Goal Setting
3. Planning
4. Persuasion and networking
5. Building self-confidence
6. Listening to others
7. Demonstrating leadership

3.Risk Taking

The best entrepreneurs tend to:- risks

- Set their own objectives where there is moderate risk of failure and take calculated
- Gain satisfaction from completing a job well
- Not be afraid of public opinion, skepticism
- Take responsibility for their own actions

4) Demanding for Efficiency and Quality

- Efficiency: Being efficient means producing results with little wasted effort

5. Information-seeking:- Successful entrepreneurs do not rely on guesswork and do not rely on others for information. Instead, they spend time collecting information about their customers, competitors, suppliers, relevant technology and markets.

6. Goal Setting

A Goal - is a general direction, or long-term aim that you want to accomplish. It is not specific enough to be measured.

Objectives - are specific and measurable. They are concise and specific

- An entrepreneur must have a goal and an objective which is specific, measurable, attainable relevant, and time bound (SMART).
- Specific: Great goals are well-defined and focused. The moment you focus on a goal, your goal becomes a magnet, pulling you and your resources toward it. The more focused your energies, the more power you generate.
- Measurable: Put concrete numbers in your goals to know if you're on track.
- Attainable
- Relevant: Achievable business goals are based on the current conditions and realities of
- the business climate

- Time-Based

7. Planning: Planning is making a decision about the future in terms of what to do, when to do, where to do, how to do, by whom to do and using what resources.

8. Persuasion and Networking

Persuasion is a way of convincing someone to get something or make a decision in your favor.

Networking is an extended group of people with similar interests or concerns who interact and remain in informal contact for mutual assistance or support

9. **Building Self-confidence**: Self-confidence is the state of being certain that a chosen course of action is the best or most effective given the circumstances
10. **Listening to Others**: An entrepreneur does not simply impose his/her idea on others. Rather, he/she listens to other people in their sphere of influence, analyses their input in line with his/her own thinking and makes an informed decision.
11. **DemonstratingLeadership**: An entrepreneur does not only do things by him/herself, but also gets things done through others. Entrepreneurs inspire, encourage and lead others to undertake the given duties in time

- Entrepreneurial Skills

I .<u>General management skills</u>

These are skills required to organize the physical and financial resources needed to run the venture.

<u>A. Strategy Skills</u> – An ability to consider the business as a whole, to understand how it fits within its market place, how it can organize itself to deliver value to its customers, and the ways in which it does this better than its competitors.

<u>B. Planning Skills</u> – An ability to consider what the future might offer, how it will impact on the business and what needs to be done to prepare for it now

C. Marketing Skills – An ability to see past the firm's offerings and their features, to be able to see how they satisfy the customer's needs and why the customer finds them attractive.

D. Financial Skills – An ability to manage money; to be able to keep track of expenditure and to monitor cash-flow.

E. Project Management Skills – An ability to organize projects, to set specific objectives, to set schedules and to ensure that the necessary resources are in the right plat of the right time.

F.Time Management Skills – An ability to use time productively, to be able to priorities important jobs and to get things done to schedule

II. People management skills

A. Communication Skills – An ability to use spoken and written language to express ideas and inform others.

B. Leadership Skills – An ability to inspire people to work in a specific way and to undertake the tasks that are necessary for the success of the venture.

C. **Motivation Skills –** An ability to enthuse people and get them to give their full commitment to the tasks in hand.

D.Delegation Skills – An ability to allocate tasks to different people

E.Negotiation Skills – An ability to understand what is wanted from a situations.

Daily Assignment

- Who Benefits from the entrepreneur's Wealth?
- Discuss about the Phases of Business Environment ?

Entrepreneurs and Managers

Similarities

- Both make decisions
- Both are visionary
- Both are accountable for their actions
- Both work under constraints
- Both are organizers
- Both perform management functions

Differences

- Primary Motive
- Focus
- Risk Taking
- Reward
- Skills
- Status

Innovation, Creativity and Entrepreneurship

- **Creativity is the generation of ideas that result in the improved efficiency or effectiveness of a system.**
- **The creative process has five commonly agreed phases**
  - **Phase 1: Background and Knowledge Accumulation: investigation and information gathering**
  - **Phase 2: Immersion**
  - **Phase 3: The Incubation process: letting the subconscious mid work**
  - **Phase 4: The idea Experience: idea or solution the individual seeking is discovered**

Barriers to Creativity

Be aware that there are numerous barriers to creativity, including:

1. searching for the one ‘right’ answer
2. focusing on being logical
3. blindly following the rules
4. constantly being practical
5. viewing play as frivolous
6. becoming overly specialized
7. avoiding ambiguity
8. fearing looking foolish
9. fearing mistakes and failure
10. believing that ‘I’m not creative

Innovation

- It is the means by which the entrepreneur either creates new wealth producing resources or endows existing resources with enhanced potential for creating wealth.
- The four types of innovation.
  - Invention: creation of a new product
  - Extension: expansion existing product
  - Duplication: replication existing product,
  - Synthesis: combination of existing concepts
- Sources of Innovation
  - Unexpected occurrences
  - Incongruities
  - Process Needs
  - Industry and market changes
  - Demographic changes
  - Perceptual changes

The Innovation Process

1. **Analytical planning:** carefully identifying the product or service features, design as well as the resources that will be needed.
2. **Resources organization:** obtaining the required resources, materials, technology, human or capital resources
3. **Implementation**: applying the resources in order to accomplish the plans
4. **Commercial application:** the provision of values to customers, reward employees and satisfy the stakeholders.